

DEEP DIVE, VOLUME 3

How J.P. Morgan thinks

The beliefs at the top, the episodes that show them, and why those beliefs explain the way the firm and the Private Bank are built. Written from what Jamie Dimon and Mary Erdoes have actually said, the firm's own conduct document, regulator orders, and accounts of the weekends when the firm acted.

Companion to volumes 1 and 2. Volume 2 showed the firm is different with numbers. This volume explains why it behaves the way it does, with stories.

Roles: 2027 Global Private Bank Advisor (req. 210773470) and Investment Solutions (req. 210774281) Summer Internships, London.

Prepared 8 September 2026. Every quotation is verbatim from a named source and dated. Where a widely repeated "J.P. Morgan saying" could not be verified, this document says so and tells you not to use it.

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How to read this

Each part follows the same pattern: what the firm believes, the story that proves it was not just talk, the structure it produced, and one line on what that means for an intern in London. Grey boxes marked "Not verified" list the sayings that circulate about the firm which could not be traced to a real source. Do not use those in an interview; an insider will know.

Part 1. The map: seven beliefs and what each one built

In plain English

Most companies have values on a poster. J.P. Morgan's are different in one respect: you can trace almost every unusual feature of how the firm is organised back to something Dimon or Erdoes said and then did. The fortress balance sheet is why the firm was the buyer on three crisis weekends. "Our client, not my client" is why private bankers are paid a bonus rather than a commission. "We seed books of business" is why your internship exists. This map shows the seven chains. The rest of the document walks each one.

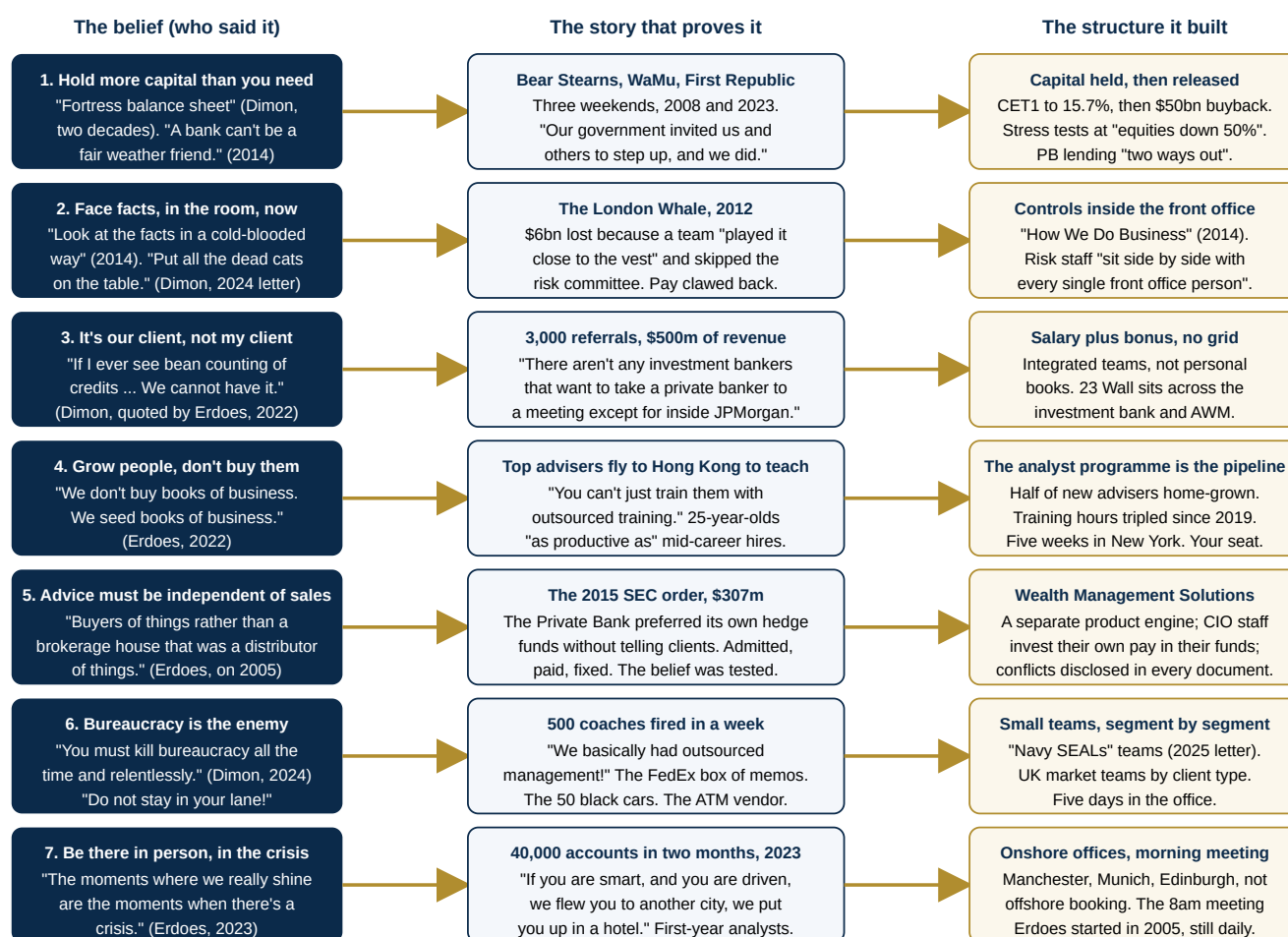


Figure 1. Seven belief-to-structure chains. Left column is a verbatim quote; middle is the episode; right is what exists today because of it.

Part 2. Dimon's operating manual, in his own words

In plain English

The 2024 shareholder letter (published April 2025) contains a lightly edited transcript of a talk Dimon gave to about 400 senior leaders. It is the closest thing to an operating manual the firm has ever published. The 2023 letter has a companion section on how he thinks and decides, and the 2025 letter adds the "small teams" idea. Senior people at the firm know these passages. If you quote one, you are speaking their language.

"Why complacency, arrogance, bureaucracy and BS kill companies" (2024 letter): ten headings, one defining line each

1. Complacency, arrogance, bureaucracy, BS "Of those that failed, many failed out of complacency, and complacency is a form of bureaucracy." Sears, Kmart, Nokia, Citi "twice".	2. Get the numbers right "I'm a fanatic about proper accounting." "The P&L could be the most deceptive thing of all." "Compare yourself with the best."	3. Full and constant assessment "When you talk with clients and they tell you that you're making a mistake, thank them. It's a gift."
4. Great controls "New products often tend to blow up." Stress test: "equity markets down 50%, high yield went to 20%" and spreads "worst ever".	5. Kill bureaucracy, relentlessly "I hate the concept of cutting costs; instead, the concept should always be cutting waste." "The meeting after the meeting... Don't bother."	6. Mistakes I made "I underestimated the importance of cloud technology, I've sometimes left the wrong person in a job for too long."
7. What the heck is culture? "A great culture is created by what you do and not by what you say." "I fire bad clients: corporate clients, individuals."	8. Leading the team "Put all the dead cats, the hard issues, on the table." "Absolutely do not stay in your lane! That is a bureaucratic, stupid direction."	9. Growth and innovation "In many cases, expansion is fought, and it's most often fought from within." "I saw the same resistance... growing Chase Wealth Management."
10. Management tricks and tools "I ALWAYS do the pre-read." "Write memos yourself." "Always make follow-up lists." "Don't hoard facts. The facts don't lie." "Talk like you speak, get rid of the jargon." "I see people in meetings all the time who are getting notifications... This has to stop. It's disrespectful. It wastes time." "Work smarter, not longer." "Last, always answer this question: 'What would you do if you were queen or king for a day?'"		
The 2025 letter adds the organising idea for the next decade: small, dedicated teams "The teams needed to tackle these challenges should be small and authorized with the decision-making ability to move and act like Navy SEALs or the Army's Delta Force." "When efforts are 1% of a lot of people's jobs, it will never get done. You need a team 100% dedicated to the mission." "This is trench warfare; it's about fighting for every inch." "It's not small business clients in branches; it's restaurateurs or law firms." In the UK Private Bank that is why teams are organised by client type, not by product.		

Figure 2. The manual on one page. Every quotation is from the 2024 or 2025 letter to shareholders.

The stories he tells to explain the rules

Dimon teaches by anecdote, and the anecdotes are what people at the firm remember. These are the ones from the letters, in his words or close to them.

Story	What happened	The rule it teaches
The 500 coaches	He discovered the firm employed about 500 outside management coaches. "I changed my mind. I'm going to micromanage this one. I want all coaches out by the end of the week." Because "it's a leader's job to coach, and we basically had outsourced management!"	Managers manage. It is also why Private Bank training is taught by producing advisers, not by HR or outside firms (Part 5).
The FedEx box	At Bank One a branch employee dropped a FedEx box on his desk full of the corporate memos a branch received in a week. The fix was a single weekly booklet, "Since We Last Met" or "You Must Read This".	See the firm through the eyes of the person in front of a customer. "We are here because we have a customer, a branch or an investment banker in front of a client."
The 50 black cars	At Shearson "there were, literally, 50 black cars" waiting for executives.	Perks are bureaucracy made visible. "Cutting waste", not "cutting costs".
The ATM at Walgreens	His wife reported a broken ATM. The vendor insisted it worked. It did not. "I told the guy that we were firing the vendor and wouldn't pay him for the last six months."	"I don't give a damn whether we're technically responsible or not. You've got to do the right thing." Also: he reads customer complaints and calls the people in charge to say "I agree with the customer."
The Old Greenwich branch	A branch making about \$500,000 a year, "all profit", was about to be closed on a net-present-value analysis. He asked who would open in the same spot: "Wells Fargo, Bank of America or Citizens." It stayed. "It was the pawn blocking the queen. Judgment calls."	"A P&L is not an assessment of a business." Spreadsheets do not override judgement about competitors and clients.
The partners' dining room, 2008	In the crisis he built a dining room for senior staff. "The whole Operating Committee said, 'Don't do it.'" His reason: "we don't actually know each other after the merger." "I call it a good expense."	Some spending buys trust and speed. The same logic funds the five-week analyst training and the bus tours.
The security guards	On arrival at JPMorgan Chase he found the guards had been outsourced to halve their healthcare. "This was a heartless thing to do, and the second I found out, I reversed the decision." "JPMorgan Chase's success will not be built off the backs of our guards."	"Treat everyone well, from clerks to CEOs." The 2014 principles ask: "would you let your kids report to them?"
The abusive rich client	A wealthy branch client abused staff. Dimon: "I want you to take all your business out of the bank." "If we have a client who is disrespectful to our people and the way we operate, we will fire them. And life will go on."	The Private Bank can and does decline clients. Character before revenue; the Pujo line from 1912 (Part 5) is the root.
Bank One branch hours	Branches were open two hours a day less than competitors and nobody had told him. "I apologize. I thought I was a pretty good CEO, but I messed up, I	Admit mistakes publicly and specifically. Morale is

made a mistake." And: "morale sucks because we suck."

downstream of performance, not the other way round.

How he actually runs a meeting, according to people who have been in one

- **The follow-up sheet.** A folded sheet of paper in his shirt pocket "covered with dozens of little rectangles in blue ink: follow-ups and to-do reminders" (Crisafulli, 2009). Fortune in 2006 called it the "people who owe me stuff" list. The 2024 letter confirms it: "Always make follow-up lists. I keep my own follow-up lists with me almost all the time."
- **Hours of questions.** Fortune, 2006: he "requires managers to present exhaustive monthly reviews, then grills them on the data for hours at a time." Steve Black, then co-head of the investment bank: "If you just want to run your business on your own and report results, you won't like working for Jamie."
- **Push back or lose respect.** He would say "That's the dumbest thing I've ever heard" and expect an argument. Jes Staley: "If not, he won't respect you." In 2026: "You're not going to hurt my feelings by telling me we have a crappy product. If you're right, I'm gonna thank you."
- **Meetings end with owners.** Oslo, April 2026: a meeting that ends with "we'll pick it up again next week" is "usually a bad meeting". "The meeting should end with, Okay David, you're going to do X."
- **No phones.** "If you have an iPad in front of me and it looks like you're reading your email... I tell you to close the damn thing." He receives notifications only from his children.
- **Process versus outcome.** On managers who like process: "They like the process, not the outcome. Whereas I like the outcome."

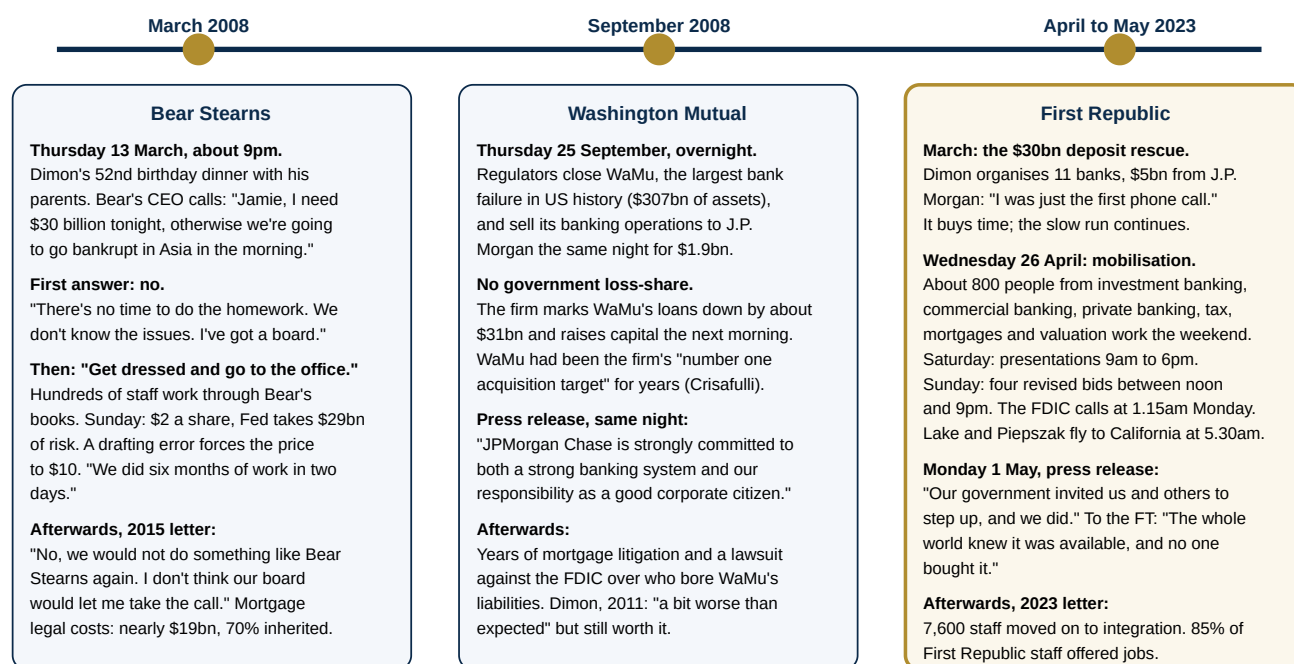
What this means for you

An intern will never present to Dimon. But the London Private Bank's team heads were promoted by people who were trained in this style, and it shows up as: bring the number and the source; say the bad news first; if you disagree, say so in the room, once, with a reason; end every conversation with who does what by when; and never look at your phone while a client advisor is talking. The candidate who does the pre-read on a client before a meeting is doing the single thing the CEO says he always does.

Part 3. Three weekends: how the firm behaves when something breaks

In plain English

Every bank says it is strong. The test is what happens on the weekend a rival collapses and the government needs a buyer by Monday morning. J.P. Morgan has been that buyer three times in fifteen years. The stories below show a pattern: refuse at first, then mobilise hundreds of people overnight, then explain it afterwards as duty and as business at the same time. The Private Bank's own crisis behaviour, in Part 5, follows the same script.



Sources: Fortune (2025, 2012), Crisafulli (2009), WaMu press release (SEC, 2008), First Republic press release and analyst call transcript (May 2023), 2023 shareholder letter.

Figure 3. The pattern: initial refusal, overnight mobilisation, a public framing of duty, then an honest ledger of what it cost.

What the First Republic weekend did to the Private Bank

This is the part most candidates miss. First Republic was not just a bank; it was a wealth business built around a "concierge" model where one banker handled everything for a rich client. Dimon wrote in the 2023 letter: "First Republic had done an outstanding job serving high-net-worth clients and venture capitalists, and we are developing what is effectively a new business for us following First Republic's servicing model." And then the sentence that a candidate should carry into any interview: "We will serve these high-net-worth clients through a single point of contact, supported by a concierge service model." In the same letter he admitted: "We underinvested for years in the wealth management business because we were always focused on the value of deposits versus investments."

So the deal is a culture story twice over. Once because the firm acted as buyer of last resort. Twice because the firm, having bought a rival, openly said the rival did something better and copied it. The J.P. Morgan wealth centres and the "single point of contact" language in the branches came from an acquired competitor. That is the "full and constant assessment" principle in practice: "It's okay to be a fast follower. Just do a postmortem."

The sequel: "Bloody Friday", April 2024

The honest end of the story. On 19 April 2024 six former First Republic adviser teams, about 48 people managing roughly \$15bn, left J.P. Morgan in a single day for Merrill, Morgan Stanley, Wells Fargo and boutiques. The reasons reported were the "repapering" of clients onto J.P. Morgan's platform and a preference for "a boutique, client-centric atmosphere rather than JPMorgan's large-bank environment". The firm later said it kept about 75% of First Republic's advisers and clients. What it tells you: J.P. Morgan's culture is a system, with controls, documentation and a team model, and people used to a personal-franchise model sometimes leave rather than adapt. That is a real cost of the "our client, not my client" belief, and a good interviewer will respect you for knowing it.

The crisis muscle inside AWM

- **2008, in the Private Bank.** Erdoes, who then ran it: "From October through December 2008, we were taking in as much as \$1 billion a day at the private bank." Every employee was trained on the account-transfer system "so they could calm clients down". The 8am morning meeting "happened three times a day". The rule for staff: "It was an important time not to be disparaging." The Private Bank added \$80bn of assets that year.
- **March 2023, after Silicon Valley Bank.** "On Friday at 7:25 PM, that was the timestamp of the 40,000th account being opened since March 10." "We took people from the mortgage business, we took people from the first-year analyst classes. It didn't matter where you were from." "If you are smart, and you are driven, we flew you to another city, we put you up in a hotel for the last 4, 6 weeks." "Just on the institutional side, we did two years' worth of account opening in basically two months."
- **The self-image.** "We know what to do when we run our war rooms inside. We know how to stay in front of clients." And to American Banker: "The moments where we really shine are the moments when there's a crisis." "We've really established ourselves as the flight to quality institution."

What this means for you

Two things. First, a first-year analyst in this firm can be put on a plane to open accounts in another city for six weeks; that is a feature, and they are proud of it. Second, the "not disparaging" rule matters in London now: UBS is integrating Credit Suisse, Citi is restructuring, Coutts is absorbing Evelyn. The firm's instinct is to be calm, present and useful to the clients of those banks, not to mock them. Say "flight to quality", never "our rivals are a mess".

Part 4. The wound that shaped the controls: the London Whale and "How We Do Business"

In plain English

In 2012 a trading team in London, inside the unit that manages the bank's own spare cash, built an enormous position in credit derivatives. When it went wrong the loss reached about \$6.2bn. Dimon had dismissed the first press reports as "a tempest in a teapot". He later called it "the stupidest and most embarrassing situation I have ever been a part of". The episode is the reason the firm wrote down its principles in 2014, and the reason risk staff now sit next to traders and bankers in Asset & Wealth Management. You will hear it referred to twelve years later as if it were yesterday.

What went wrong (2012)

- A "non-risky" unit took a huge risk.**
The Chief Investment Office, meant to invest spare deposits safely, built a synthetic credit book big enough to move markets.
- The team kept it to itself.**
"The team overseeing the trades played it close to the vest and didn't go through our normal risk controls." (2024 letter)
- The risk model was changed to look smaller.**
The Senate report (2013) found limits breached, the VaR model altered, positions mismarked, regulators misled.
- The CEO dismissed it in public.**
13 April 2012: "a tempest in a teapot". 10 May: \$2bn loss disclosed, later \$6.2bn.
- His own diagnosis, twice, years later:**
"The scandal was not caused by the complexity of the trade but rather the failure to go to the proper Risk committee."
"Frustratingly, the traders wanted to avoid oversight because it was risky."

What was built because of it

- Consequences for people.**
The unit head retired; two years' pay clawed back from her and three London managers; Dimon's own pay halved to \$11.5m.
- Structure.**
Synthetic credit moved out of the CIO into the investment bank; a dedicated CIO chief risk officer; a new firmwide CRO; about \$920m of fines paid in 2013.
- A written creed: "How We Do Business" (2014).**
Four tenets, twenty principles. "Raising red flags is every employee's responsibility." "Have only one truth for all audiences." "Keep one set of books." "Get the right people in the room." A Culture and Conduct Programme from 2015.
- Controls embedded in the business.**
Erdoes, 2023: risk and legal staff "are not something that sits off on the side. They sit side by side with every single front office person, trader, research analyst" and ask whether "the same fortress principles" apply "to our clients' balance sheet".

Figure 4. The Whale, before and after. Sources: 2023 and 2024 shareholder letters, Senate Permanent Subcommittee report (2013), "How We Do Business" (2014), Investor Day 2023.

The four tenets, and the lines inside them that the firm still uses

Tenet (2014)	Lines from the document that you will hear in the building
Exceptional client service	"Read customer complaints, and be the customer's advocate." "A bank can't be a fair weather friend."
Operational excellence	"Compare yourself with the best." "Stay hungry; competition is everywhere... complacency kills." "Be a risk manager; raising red flags is every employee's responsibility." "We do not worry about the stock price or quarterly earnings in the short run."
A commitment to integrity, fairness and responsibility	"Have zero tolerance for unethical behavior." "Look at the facts in a cold-blooded way; admit and learn from mistakes." "Have only one truth for all audiences." "Cultivate strong relationships with our regulators: be transparent, direct and respectful."
A great team and winning culture	"Treat all people properly and with respect, from clerks to CEOs." "Hire and promote those people who deserve respect (would you let your kids report to them?)." "Encourage life-long learning and a deep curiosity." "Teams do not win because they have a new stadium or the most attractive uniforms."

The document also says something most firms would not print: "We cannot promise specific outcomes or risk-free results. From time to time, we may fall short in our efforts." What it promises instead is "to be truthful and give honest assessments of our businesses and prospects".

What this means for you

In the Private Bank the Whale lesson translates directly: when a client wants something that feels wrong, the failure mode the firm fears is not the bad trade, it is the person who keeps it to themselves. If a HireVue or interview question asks what you would do if a client asked for something you thought was wrong, the J.P. Morgan-shaped answer is: listen for the goal behind the request, say what you think, and escalate to the right person early. The words "raise a red flag" and "the right people in the room" are the firm's own.

Part 5. The Private Bank's own creed: Erdoes and the sentences everyone learns

In plain English

Mary Erdoes joined J.P. Morgan in 1996 at 29, ran the Private Bank from 2005 to 2009, and has run all of Asset & Wealth Management since. She is a mathematician by training, and what she says about the Private Bank at every Investor Day has hardened into a set of sentences that new analysts are taught. Ten of them are below, all verbatim, all dated. They are more useful to you than any values page because they describe how decisions are actually made.

Who she is, in the details that explain the business

- **The mathematician.** Georgetown, mathematics, 1989; reportedly the only woman to complete the major there at the time; then Harvard Business School. Her grandmother taught her to balance a chequebook at six. Her first job she called "a glorified mailroom job".
- **What she found in 1996 and what she did about it.** "Private banking was trusts and estates, wealth transfer, banking, but nothing really impressive on the investments side." Her stated mission, in her own words: "Two decades ago, we set out to turn a bank into an investments house that does banking by hiring the smartest investment people we could find." This is why the London Investment Solutions track exists.
- **The 8am morning meeting.** She started it as Private Bank CEO in 2005; Euromoney calls it "now an institution at the bank", where "all advisers and employees are invited to hear the daily views from the capital markets group". In 2008 it ran three times a day. It will be the first thing you attend every morning in London.
- **The mentor in the closet.** Her mentor was Jimmy Lee, the legendary investment banker. "She opens a closet in her office where a poster of Lee is taped. 'He made me put it there,' she jokes. 'He pushed me to be bolder, to try harder.'"
- **Work.** Euromoney: "known for working all hours and regularly getting on planes to visit clients to discuss investments, working twice as hard if performance takes a hit." Her advice to juniors: "Sit in the front. Take notes. Ask questions. Dress for success and always send thank-you notes." To women: "The front row is not saved for anyone; I especially tell that to females."
- **Her one-line strategy.** "You will never build a great asset management company if you strive to be the biggest. You have to strive to be the best."
- **Standing.** American Banker's most powerful woman in finance in 2023, 2024 and 2025; on the Operating Committee since 2009; given a \$20m retention award in June 2026 when the firm named its co-presidents. The Private Bank's ultimate boss is one of the longest-serving people in the building.

Ten sentences that run the Private Bank (all Erdoes, all verbatim, all dated)

1. "Banking is not a commodity. That's what we teach them." Investor Day, 22 May 2023. The first-day lesson for analysts, after Python. "Their eyes gaze over as they don't live in crisis. And then when they hit a crisis, they pay attention to this." Means: the bank's strength is the product.	2. "We don't allow people to say, my client. It's our client." 22 May 2023. Why: "there aren't any investment bankers that want to take a private banker to a meeting except for inside JPMorgan Chase." New hires say "this is like not normal." Means: no personal franchises, no referral credits.
3. "We want two ways out. Why? For them and for the bank." 22 May 2023. "97% of what we do is fully collateralized." "When you hit an air pocket, you don't want to be the person who's forcing them out of something." "We never changed our lending standards." Means: never one repayment path.	4. "We celebrate just as much here what we call the empty tombstone." 20 May 2024. "The empty tombstone is the deal that sometimes you don't do. It's maybe the best advice for clients." Means: telling a client not to act is a product, and the firm rewards it.
5. "We don't buy books of business. We seed books of business." 23 May 2022. "This isn't the brokerage business model... This is really an apprenticeship model business." "Nearly half of our new advisors are homegrown." Means: the firm grows advisors from the analyst class. You.	6. "We want you JPMorganized and that's our secret sauce." 22 May 2023; first used 2022 about mid-career hires, whose "productivity doubles after they've been here for a year." Front-line advisers "train and teach and coach until they're JPMorganized." Means: culture is taught, by doers.
7. "They sit side by side with every single front office person." 22 May 2023, on risk, legal and controls. "Not something that sits off on the side." They ask whether "the same fortress principles" apply "to our clients' balance sheet". Means: compliance is a colleague at the next desk, not a gate.	8. "Career analysts are treasured athletes, not want-to-be portfolio managers" 19 May 2025. "That is a very important cultural difference of how we run this place." 500 career research analysts, \$500m a year, 11,000 company meetings. Means: research is a career, not a stepping stone. Relevant to Solutions.
9. "You can't just train them with outsourced training." 19 May 2025, quoting Jeremy Geller. "We take some of the best front-line advisors, and we say, you're going to go train them." US teams "spent a week in Hong Kong" teaching new hires. Means: the same rule as Dimon's 500 coaches.	10. "Doing first-class business in a first-class way..." "...is a great way to make your clients happy." 20 May 2024. From J.P. Morgan Jr., 1933 Senate statement: "doing only first-class business, and that in a first-class way". Means: reputation is the asset; ninety years of the same sentence.

Figure 5. The creed. Every line can be checked against an Investor Day transcript. These are the phrases that mark an insider.

Where it comes from: character before collateral, 1912

The oldest sentence in the firm's culture is from Pierpont Morgan's testimony to the Pujo Committee in December 1912, when asked whether credit was based on money or property: "No, sir. The first thing is character... before money or anything else. Money cannot buy it." And: "A man I do not trust could not get money from me on all the bonds in Christendom." That is the root of "two ways out" (character and collateral, not one), of the "empty tombstone", and of Dimon firing abusive clients. Two more heritage facts you will hear in London pitch books: the firm dates its UK presence to 1838, and Junius Morgan, Pierpont's father, built J.S. Morgan & Co. in London in 1854. And one you can use as a metaphor: the original headquarters at 23 Wall Street had no name on the facade, and after the 1920 bombing that killed 38 people the firm refused to repair the pockmarks. The team that serves the largest families is called 23 Wall for that reason.

Not verified: sayings about Erdoes that circulate but cannot be sourced

- "There is no such thing as a bad market, only bad portfolios." No source attributes this to her. The nearest real line is from CNBC in 2022: "there is alpha everywhere."
- "We hire for character." Not found as an Erdoes line. Use Pujo 1912, or Dimon's hiring test from 2020: "Would you work for that person? Would you want your kid to work for that person?"
- That she reads every client complaint, gives clients her mobile number, or sits on the trading floor rather than in an office. None found. Euromoney describes "her office" with a closet.
- A "call every client" order in March 2020. Not found. What is documented is the 2020 letter: over 90% of AWM went remote in two weeks and "clients were our focus".
- A numbered list of "Erdoes' 10 rules". Does not exist. The nearest is her 2021 Bloomberg money rules: "Don't lose what you already have" and "diversify".

What this means for you

Say "our client". Know that the morning meeting is where the firm's view is set and that you are expected to be there with a question. If asked about lending, mention "two ways out". If asked about advice, mention the "empty tombstone". If asked why J.P. Morgan rather than a boutique, quote "we seed books of business" and explain that you want to be seeded. Do not quote the unverified lines; interviewers who sit in the 8am meeting will notice.

Part 6. Structure follows culture: eight things about the Private Bank that only make sense once you know the belief behind them

In plain English

When you first read the organisation chart in volume 2, several things look odd. Why is there a 2,500-person product organisation separate from the bankers? Why does the firm pay bankers a bonus rather than a cut of what they sell? Why open an office in Manchester rather than book northern clients from London? Why are the largest families served by a team that belongs to no division? Each has a belief behind it, and in most cases an episode where the belief was tested.

1. "Our client" produced the integrated team and the no-grid pay

How one founder moves through the firm without anyone counting credits



The rule that makes the hand-offs happen (Dimon, quoted by Erdoes, 23 May 2022)

"If I ever see bean counting of credits going from one line of business to another on a particular client, we're going to end up having accounting departments inside just counting those beans. We cannot have it. And in fact we don't." Result: "3,000 referrals ... an extra \$500 million in revenues."

The structural consequences

Pay: salary plus discretionary bonus at every level; no grid, so a banker has no reason to fight over who "owns" a client.

The firm's own disclosure: bonuses "are not related directly to the sale of any specific product".

Teams: the client belongs to an integrated team (banker, investor, wealth advisor, lending, service), so a departure does not take the client.

Erdoes: "over 95% don't leave, they stay here until they retire."

23 Wall: "sits across the Investment Bank and Asset & Wealth Management", born in a 2019 conversation between Cohen, Dimon and Erdoes.

The cost

Advisers used to owning a book find it hard to adapt. The 2024 exodus of ex-First Republic teams is the documented example.

Other firms pay for referrals; this one refuses to.

Figure 6. The founder's journey. Erdoes: "never once was there a conversation about who gets the credit. And I think that's the most important sort of fabric of this firm."

2. "Buyers of things, not distributors of things" produced Wealth Management Solutions, and the 2015 order proved it was needed

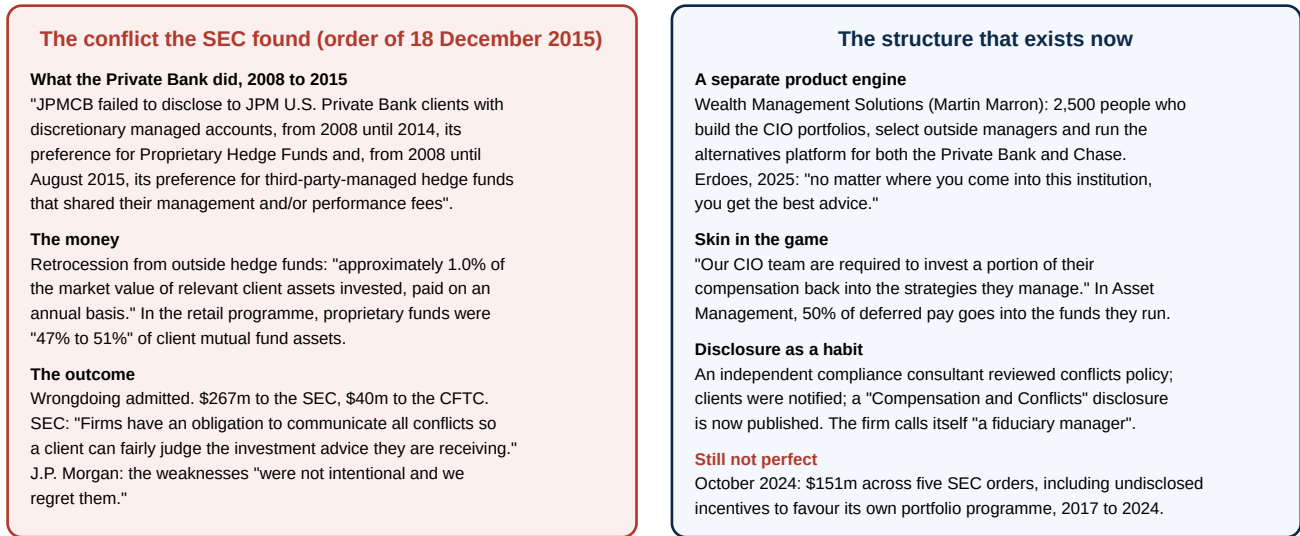


Figure 7. Independence of advice from distribution is a belief that has been tested twice by the regulator. The structure is the response.

Erdoes on the original intent, describing 2005: "We wanted to be the investment bank for people's personal balance sheets, to be buyers of things rather than a brokerage house that was a distributor of things." That is why the investor and the banker are different people on the team, and why the Investment Solutions track is a separate career path rather than a sales-support role.

3. "We seed books" produced the training machine

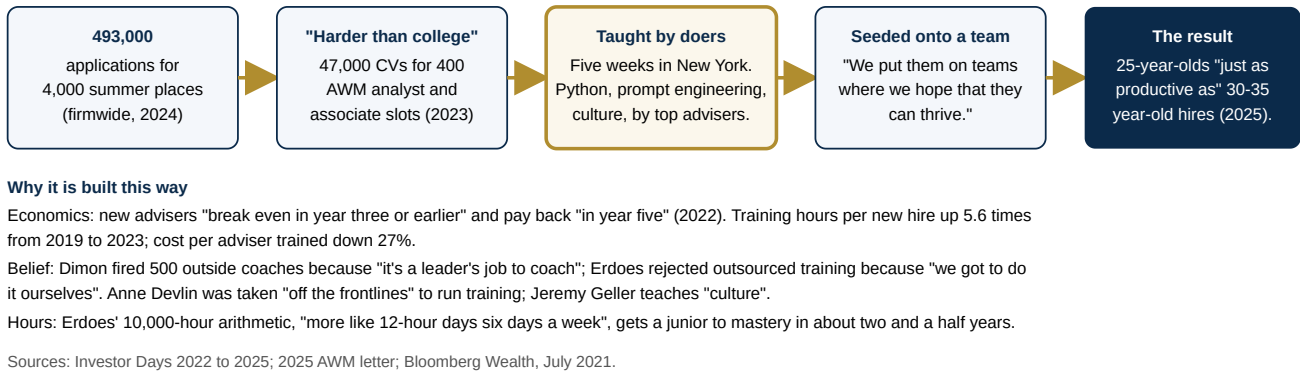


Figure 8. The pipeline you are applying to join. Every stage is justified by a quoted belief.

4 to 8. Five more, briefly

Structural fact	The belief and the quote	Where it came from
Risk and legal staff sit with the front office in AWM	"They sit side by side with every single front office person, trader, research analyst." They check whether "the same fortress principles" apply to clients' balance sheets. (Erdoes, 2023)	The London Whale, 2012: the lesson that a team kept a risk to itself. "Raising red flags is every employee's responsibility." (2014)
Onshore offices: Manchester (2023), Munich, Athens, Hamburg, Edinburgh, Glasgow, Leeds hiring	Khayyam Jumani on Manchester: "Location plays a big role in understanding the environment in which our clients operate." Dimon's rule: "Get on the road, it builds knowledge and culture." Euromoney: the EMEA business went from "largely offshore, London-centric" to "genuinely onshore, multi-hub".	Dimon's bus tours (16 of them, 24,000 clients met) and "hit the road, leave your office" applied to Europe. Also the 2025 letter's "restaurateurs or law firms" segment logic: entrepreneurs in the North are a segment.
Chase's wealth advisers stay in the consumer bank but share AWM's product engine	Erdoes: Chase advisers are "powered by" the Solutions team. Slogan in branches: "Bank with Chase and Invest with J.P. Morgan." One standard of advice, many doors.	Dimon's admission that the firm "underinvested for years in the wealth management business", plus "I saw the same resistance from within when we were growing Chase Wealth Management."
Client minimums enforced and raised (\$10m from 2016), with smaller clients moved to a separate channel	"Each one of those clients has made a decision. They could put their money anywhere, [but] they put it with us." The firm would rather serve fewer clients to the same standard than dilute the model.	"Best, not the biggest." Bankers complained at the time (AdvisorHub, 2016: worried it "would deplete the pool of prospects"); the firm did it anyway.
Eye on the Market, a strategist's note that has been published since 2005 and "names names"	Michael Cembalest: "Only two pieces ever got squashed because of their content out of 4,500 pages." Erdoes: "we've taken Michael Cembalest's brain... and now you can query it."	"Have only one truth for all audiences." The firm publishes candid, sometimes sarcastic views to clients rather than marketing.

What this means for you

When an interviewer asks "what do you know about how we're organised", most candidates recite the divisions. You can explain why: the integrated team exists because nobody may say "my client"; Wealth Management Solutions exists because advice must not depend on what sells; the training programme is taught by producing advisers because the CEO fired the outside coaches; and Manchester exists because the firm believes you have to be where the clients are. That is the difference between reading the org chart and understanding it.

Part 7. The uncomfortable side: what the culture costs, and what the firm got wrong

In plain English

A culture strong enough to produce three rescue weekends and a 40% return on equity is also strong enough to bruise people. This part is not a warning against joining. It is the material that lets you answer "what do you think are the downsides of working here" without sounding either naive or negative. Every item is documented.

The same belief, seen from both sides

"Apprenticeship needs presence" The upside "You can't learn working from your basement." Juniors learn from the desk next to them. The cost Five days in the office from March 2025, no manager discretion. Leaked audio: "Zero chance."	"Mastery takes 10,000 hours" The upside A 25-year-old as productive as a 35-year-old. The steepest learning curve in the industry. The cost "More like 12-hour days six days a week." Glassdoor: "no room for taking it easy".	"Our client, not my client" The upside Referrals without fights; clients stay when a banker leaves; stable pay. The cost Entrepreneurial bankers leave: "Bloody Friday", 2024. Senior pay below grid firms.
"Face facts, cold-bloodedly" The upside Mistakes admitted in print: Frank, the Whale, "morale sucks because we suck". The cost Bluntness that reads as harshness. The CEO apologised for language, never for substance.	"Pay for performance" The upside Clawbacks used (Whale, Staley). "Get rid of the bad people." Deferred, stock-heavy at top. The cost After record 2024 profit, non-IB staff got 2 to 3% raises: "a slap in the face" (Fortune, 2025).	"Character before collateral" The upside Clients fired for abusing staff. Loan losses of one basis point. "Two ways out." The cost Epstein stayed a Private Bank client 1998 to 2013 despite compliance flags. \$365m settled.

Figure 9. Six beliefs, each with its documented cost. Knowing both columns is what separates an informed candidate from an enthusiast.

The episodes, straight

Episode	What happened	What the firm said or did
Return to office, 2025	Five days a week from March 2025. A petition of about 1,000 signatures. At a Columbus town hall on 12 February a technology analyst asked whether managers could decide for distributed teams; the audio leaked: "There is no chance that I would leave that up to managers. Zero chance." "I don't care how many people sign that fucking petition." The analyst was briefly told to clear his desk, then reinstated.	Dimon on CNBC, 24 February: "I should never curse, ever." "We're not going to change. We're going back to the office." In May: "You can't learn working from your basement." The reasoning had been in writing since the 2021 letter: apprenticeship "is almost impossible to replicate in the Zoom world."
Junior hours	Erdoes in 2021: mastery "more like 12-hour days six days a week". In September 2024, after a Bank of America associate died, the firm capped junior investment-banker hours at 80 a week with live deals exempt, protected Friday 6pm to Saturday noon, and created a role to oversee juniors.	Dimon at Georgetown: bankers "come home and they give you four assignments, and you've got to work all weekend." Managers who ignore the cap risk their bonus. The 2024 letter also says: "Take care of yourself. If you don't take care of yourself, it doesn't work."
Loyalty demanded	Taking a future-dated private-equity job while joining the firm is "unethical" (Dimon, 2024). From June 2025 incoming US analysts were told that accepting another job within 18 months means termination, and all training is mandatory.	Consistent with "we seed books of business": the firm invests in training and expects the return.
Frank, 2021 to 2025	\$175m paid for a student-finance start-up whose founder faked 4 million users (real number under 300,000). Discovered when a marketing email to the "customers" bounced. Founder convicted March 2025, sentenced to 85 months. The judge: he was "punishing her conduct and not JPMorgan's stupidity."	Dimon, January 2023: "a huge mistake"; "when you are getting up to bat 300 times a year you will have errors, and we don't want our company to be terrified of errors and not do anything."
Epstein, 1998 to 2013	A Private Bank client for fifteen years despite his 2008 guilty plea and repeated internal compliance flags. Settled with victims for \$290m and with the US Virgin Islands for \$75m in 2023; sued its own former executive Jes Staley to recover pay. A Senate memo in November 2025 alleged Erdoes "blessed" continuing the relationship in 2013, the year the bank exited him.	"In hindsight, any association with him was a mistake and we regret it." Dimon testified he "never met, emailed or spoke to" Epstein and that account decisions sat with Erdoes and the general counsel. The lesson for the Private Bank: a senior relationship must not override escalation.
Trade surveillance, 2024	\$348m of penalties for failing to monitor "billions of instances of trading activity" on at least 30 venues between 2014 and 2023.	Remediated; the regulator closed the order in April 2026. "Even the fortress has plumbing gaps."

DEI to DOI, 2025	At the same Columbus town hall: "I saw how we were spending money on some of this stupid shit, and it really pissed me off." In March the firm renamed Diversity, Equity & Inclusion to Diversity, Opportunity & Inclusion.	Piepszak's memo: "the 'e' always meant equal opportunity to us, not equal outcomes." Employee groups and Women on the Move continued. Erdoes' own line: "The front row is not saved for anyone."
Succession	"Five years" was the answer for a decade. In June 2026 two co-presidents were named and Marianne Lake, one of the leading candidates, retired the same week. Executives who lost earlier races (Winters, Scharf, Cavanagh, Zames) left too.	Dimon confirmed Lake's reason publicly within three weeks: "once she knew about the plans, she'd rather retire than stay here." "One truth for all audiences", even when awkward.

How to use this in an interview

If asked for a downside: "The firm asks for a lot of presence and hours early on, and it is explicit about it. Erdoes has said the training is designed so that a 25-year-old is as productive as a mid-career hire, and that only works if you are physically there. I have thought about that and I want the steep curve." If asked about controversies: name one (the 2015 conflicts order is the most relevant to the Private Bank), say what was changed (Wealth Management Solutions, disclosure, skin in the game), and stop. Never volunteer Epstein; if asked, say the lesson is escalation over relationship.

Part 8. What it means for you: how to sound like someone who belongs

The vocabulary test

An interviewer who has sat in the 8am meeting for ten years will hear, within two minutes, whether you have read the marketing or the source. Below are the phrases that signal the latter, each with the person and date so you can attribute them correctly if asked.

Phrase	Who, when	Use it when asked about
"Banking is not a commodity"	Erdoes, Investor Day 2023	Why a private bank rather than an asset manager or fintech.
"Our client, not my client"	Erdoes, 2023; Dimon's "bean counting" rule, 2022	Teamwork, referrals, how the divisions work together.
"Two ways out"	Erdoes, 2022 and 2023	Lending to wealthy clients, risk.
"The empty tombstone"	Erdoes, 2024	What good advice looks like; a client who wants to do something unwise.
"We seed books of business"	Erdoes, 2022	Why you want this programme rather than a boutique.
"JPMorganized"	Erdoes, 2022 to 2024	Training, what you expect from the first two years.
"Raising red flags is every employee's responsibility"	How We Do Business, 2014	Ethics questions, the Whale, escalation.
"Put the dead cats on the table"; "do not stay in your lane"	Dimon, 2024 letter	How you handle disagreement or bad news.
"Cutting waste, not cutting costs"; "kill bureaucracy"	Dimon, 2024 letter	Efficiency, process, why the firm keeps spending.
"Small teams... Navy SEALs"; "restaurateurs or law firms"	Dimon, 2025 letter	Why the UK Private Bank is organised by client segment; why Manchester.
"Flight to quality"; "port in the storm"	Erdoes, 2023; 2023 AWM letter	Rivals in trouble (UBS, Citi, Coutts). Never disparage; say clients come to quality.
"First-class business in a first-class way"	J.P. Morgan Jr., 1933; Erdoes, 2022 and 2024	Culture, reputation. Know it is from a Senate hearing in 1933, and that Morgan Stanley claims it too.
"The first thing is character... Money cannot buy it."	Pierpont Morgan, Pujo testimony, December 1912	Why the firm declines clients; the root of everything above.

Three answers rebuilt in the firm's own logic

Question	An answer that uses the culture rather than describing it
"Why J.P. Morgan Private Bank and not Goldman or a Swiss house?"	"Because of how it is built. Erdoes says the firm seeds books of business rather than buying them, which means the analyst programme is the strategy, not a side door. The team model and the no-grid pay mean the client belongs to the firm, so a junior gets to work on real relationships rather than support one banker's franchise. And the firm has been the buyer on three crisis weekends, which tells me the capital and the culture are both real. I want to be trained by a firm that expects me to be as productive at 25 as a mid-career hire, and says so in print."
"Tell me about a time you had to deliver bad news."	Structure the story around the firm's own rule: you found the fact, you put it on the table in the room rather than in a corridor afterwards, you did not wait, and you proposed the fix. Close with what changed. You do not need to cite Dimon; the shape of the story will be recognised.
"A client insists on putting 60% of their wealth into one private company. What do you do?"	"First I would want to understand the goal behind it, because the request is rarely the goal. Then I would say plainly what the risk is, using the firm's language of two ways out: if that company fails, what is the second path? If the client still wants it, I would bring in the investor and the team head early rather than carry it alone, and document the advice. Erdoes calls the deal you talk a client out of the empty tombstone, and says the firm celebrates it. I would rather earn that than the fee."

If you only remember one page

The firm is built on a handful of beliefs that have been tested in public: hold more capital than you need, and you become the buyer when others fail; face facts in the room, because the one time a team hid a problem it cost \$6bn; the client belongs to the firm, not the banker, so nobody counts credits and nobody is paid a grid; advice must be independent of what sells, and the regulator has twice made that expensive to forget; and people are grown, not bought, so the analyst class is the strategy. Those beliefs produced the integrated team, the separate Solutions engine, the five-week training, the Manchester office and the 8am meeting. They also produced five-day office weeks, long hours, blunt bosses and some genuine failures. Say that you know both halves, and mean it.

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